

tional 1 million beds will be required just in urban areas by 2030.

Similarly, the doctor-patient ratio remains at 1:1,700, still below the WHO norm of 1:1,000. However, between 2014 and 2024, the country added 50,000 MBBS seats, bringing the total to 107,000.

“India’s healthcare sector stands at a defining crossroads, presenting both complex challenges and transformative opportunities. The upcoming Union Budget offers a unique opportunity to address systemic gaps, such as the acute shortage of medical specialists, rising cancer care costs, and inadequate hospital infrastructure to meet the demands of a growing population,” says Abhay Soi, Chairman & Managing Director of Max Health-

care Institute Ltd and President of NATHEALTH, a forum for healthcare stakeholders.

Another worry is the rise in non-communicable diseases like cardiac ailments, obesity, and diabetes. Of particular concern is the increase in cancer cases: India recorded 1.5 million new cases in 2024, according to the Indian Council of Medical Research. Thus, the government must ensure that treatments such as radiotherapy are more affordable.

Some steps have been taken in this direction, like the reduction of customs duty on select anti-cancer drugs that was announced in last year’s Budget.

The high cost of cancer care, experts say, is exacerbated by GST rates of 12-18% on essential equip-

ment such as LINAC machines. NATHEALTH recommends that the government reduce GST on essential medical devices like LINAC machines to 5%.

HOLE IN THE POCKET

Despite many measures over the years, out-of-pocket expenditure (OOPE) on healthcare remains high in India, with individuals covering around 40% of costs, according to National Health Accounts (NHA) data for 2021-22. And it’s increasing. In 2024, too, inflation in medical costs outpaced the overall rate of price rise. According to the ACKO India Health Insurance Index 2024, healthcare costs in India rose at an annual rate of 14%, while the overall retail inflation rate was 6.21% as of October 2024.

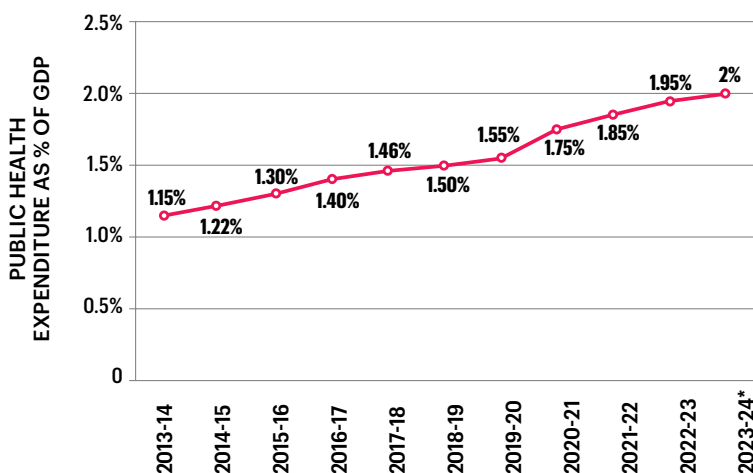
To address this, experts suggest that the government focus on expanding health insurance coverage, particularly through the Ayushman Bharat Pradhan Mantri Jan Arogya Yojana (PMJAY), and to increase the reimbursement rates to align them with inflation.

While vaccination drives and awareness campaigns are ongoing, there is a pressing need for dedicated funding for screening of chronic diseases and health education, says Reddy. He suggests that “increased taxes on tobacco and alcohol” could provide additional health funding while simultaneously reducing consumption of harmful products.

“India’s healthcare infrastructure and professional services face challenges in improving household well-being. While positive trends have emerged over the past decade, more needs to be done for a country of India’s size. Low-income households, in particular, require targeted attention and cost-effective treatment so-

STEADY INCREASE

• From a little over 1% in FY14, the share of public health expenditure in India’s GDP has risen to 2%



*ESTIMATES SOURCE GOVERNMENT OF INDIA